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## CLARITY NEEDED ON FINAL GUIDELINES



The entry of new banks will not make a difference to existing players. Overall for the economy, this is a positive development and it will result in more foreign exchange coming in. But the real impact will take time

**SHIKHA SHARMA** |

MD & CEO, AXIS BANK

New bank licences are only one short-term aspect of the amendments to the Act. The provisions on empowerment of the regulator will have long-term ramifications

**ASHWIN PAREKH** |

PARTNER, GLOBAL FINANCIAL LEADER, E&Y



The passing of the bill will surely boost investor confidence about the government's motives towards economic reforms. This would also give more powers to RBI, which in turn could pave the way for the final guidelines by the banking regulator for issuing new banking licenses soon

**RASHESH SHAH** |

CHAIRMAN, EDELWEISS GROUP



We are keen on a banking licence and are happy that the bill has been passed. But we are waiting to see what the final guidelines are as this will provide clarity on some of the issues raised by RBI in its draft guidelines

**AJAY SRINIVASAN** | CEO, ADITYA BIRLA GROUP FINANCIAL SERVICES

would like bank licences to diversify their loan book, said Rajat Rajgarhia, director, research, **Motilal Oswal Financial Services Ltd.**

"Till the time they operate as an NBFC, they remain specialized players so they just concentrate on one or two segments. But to grow beyond a point, they would need multiple products in their portfolio," he said in a note on Wednesday.

**Angel Broking Ltd** analysts Vaibhav Agrawal and Sourabh Taparia said L&T Finance is the "most eligible" among companies wanting to get a bank licence. "It (L&T) is not a promoter-driven corporate and has the requisite financial strength and corporate stature to promote a bank, in our view," they wrote in a note late on Tuesday.

The passing of the banking Bill was a precondition set by RBI before issuing new licences. The Bill gives the central bank special powers to supervise lending to group companies. But, more importantly, it allows RBI to supersede private sector bank boards and make changes that can last for a year.

Without such powers, there's little RBI can do other than appoint its own representative on the board of a bank as an observer if there are serious compliance issues.

For private banks, the Bill also makes voting rights proportional to the shareholding, removing the 10% cap on voting. For public sector banks, the cap on voting rights has been raised to 10% from 1%.

RBI will choose only the "best and the brightest" from

(for a banking licence) and are okay according to RBI's draft guidelines. We are just awaiting the final norms," said Arun Duggal, chairman, **Shriram Capital Ltd.**

Shriram Capital is the main promoter of two listed companies of the group—the truck financing company **Shriram Transport Finance Co. Ltd** and retail finance firm **Shriram City Union Finance Ltd**, which serves low-income groups.

The Aditya Birla Group is another the corporate group in the running for a banking licence. Ajay Srinivasan, chief executive of financial services, said a banking licence is the next step for the group.

"We are a large non-banking company and qualify to apply, according to RBI guidelines. We are just waiting for the final norms," Srinivasan said.

Analysts are also expecting new licences to start a round of mergers and acquisition, especially involving old private sector banks.

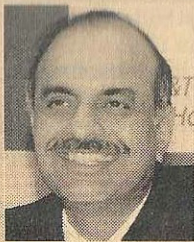
"We think there is a high possibility that many of the new banks could consider acquiring 'older, smaller banks' with large distribution networks, such as Karnataka Bank, Federal Bank, etc., especially given that they may need to have at least 25% of their branches in unbanked areas. The key would be managing the fragmented ownership of many of these banks," Rajeev Varma and Veekesh Gandhi, analysts with Bank of America-Merrill Lynch, said in a note on Tuesday.

The process of granting new licences is widely expected to take at least another year if not longer.

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With deposits and other banking services, we shall get to interact with customers; it increases brand recall and business opportunities

**N Sivaraman,**  
president, L&T Finance Holdings

With over 1,700 points of presence and an assets under management (AUM) base of over ₹1,00,000 crore, we believe banking is a natural fit with our business

**Ajay Srinivasan,**  
chief executive, financial services,  
Aditya Birla Group



As a group we are definitely waiting and eagerly watching because banking licence is an area of interest for us clearly

**Ramesh Iyer,**  
managing director, Mahindra Finance

Only on the basis of financial inclusion, we should be on top of the list to receive a banking licence

**Vijay Mahajan,**  
founder and chief executive officer, Basix



There is no case for converting Shriram Transport Finance into a bank

**Umesh Revankar,**  
managing director,  
Shriram Transport Finance

# NBFCs wanting to become banks wait for RBI invite

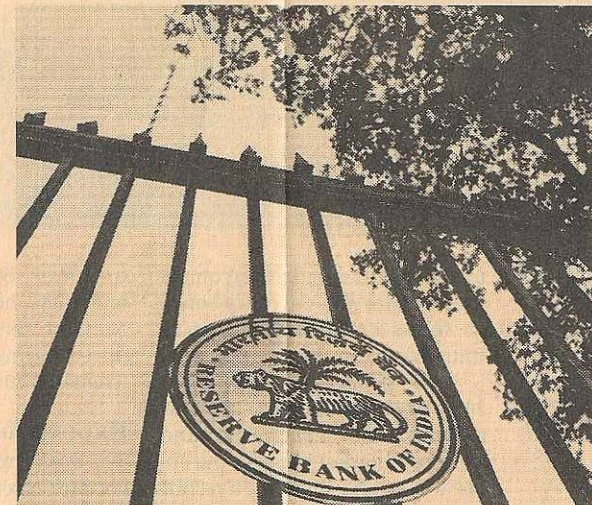
## ■ New law arms RBI with more powers to regulate banks

**Vishwanath Nair &  
Aftab Ahmed**  
Mumbai, Dec 19

A host of well diversified non-banking financial companies (NBFCs) are keen to become banks and will throw their hats in the ring once the Reserve Bank of India (RBI) invites applications. Larsen and Toubro's subsidiary, L&T Finance is among the several aspirants for a banking licence.

"With deposits and other banking services, we shall get to interact with all customers on both the assets and liabilities fronts. It will increase business opportunities and help diversify our sources of funds," said N Sivaraman, the president and wholetime director of L&T Finance Holdings.

Others keen on setting up a bank are the Aditya Birla Group, the Bajaj Group, Edelweiss and the Shriram Group. Ajay Srinivasan, chief executive, financial services, Aditya Birla Group, said: "With over 1,700 points of presence and



an assets under management (AUM) base of over ₹1,00,000 crore, we believe banking is a natural fit with our business. However, we would have to take a decision once we have an opportunity to review the final guidelines."

Umesh Revankar, the managing director, Shriram Transport Finance Corp (STFC) believes that there is little scope for converting STFC into a bank. However, the Shriram

Group could explore the option of setting up a bank as a separate entity.

With the Banking (Laws) Amendments Bill passed in Lok Sabha on Tuesday and expected to be discussed in the Rajya Sabha on Thursday, the Reserve Bank of India is now armed with more powers to regulate banks and may announce final guidelines on new banking licences in a few months. In the draft guideline, RBI said groups that derive 10% or

**IN THE DRAFT GUIDELINE, RBI SAID GROUPS THAT DERIVE 10% OR MORE INCOME OR ASSETS FROM BROKING OR REAL ESTATE CANNOT PROMOTE BANKS**

more of income or assets from broking or real estate cannot promote banks.

Moreover, RBI has laid down that promoters will be permitted to set up a new bank only through a wholly owned non-operative holding company (NOHC), which will hold the bank as well as all the other financial services companies regulated by RBI or other financial sector regulators. If a promoter group already has an existing NBFC in a group which is involved in an activity that banks can undertake, the activities undertaken by the NBFC will have to be transferred to the new bank, or the NBFC will have to convert itself into a bank.



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# Waiver from stamp duty and capital gains tax not in the Banking Bill Expansion plans of foreign banks need to wait more

SURABHI AND SUBHOMOY  
BHATTACHARJEE

NEW DELHI, DECEMBER 19

**F**OREIGN banks planning to expand operations in India by setting up wholly owned subsidiaries after the passage of the Banking Laws (Amendment) Bill are in for a disappointment.

The banks wanted the government to introduce a key clause that would have allowed the Reserve Bank of India to waive stamp duty or capital gains tax on their conversion to a wholly owned subsidiary from a branch mode of operation. All the 41 foreign banks operating in India do so on the branch mode.

This means the expected surge of foreign investments from abroad into the sector might not happen soon. Foreign banks do not anticipate buying into existing private sector banks and so the most significant entry route they were contemplating was that of wholly owned subsidiary.

These provisions, however, did not find their way into the final Bill cleared by Lok

**SEVERAL FOREIGN** banks plan to convert into wholly owned subsidiaries which the RBI too prefers as this makes it easier to track their India-based assets and liabilities

Sabha on Tuesday. Instead it is expected that the changes could figure in the amendments to the Indian Stamp Duty Act and possibly the Finance Bill for 2013-14.

For the foreign banks in India and those planning to apply for a licence from the RBI, it means a stand still, possibly till the time RBI hands out new bank licences to domestic companies. Several of them plan to convert into wholly owned subsidiaries which the RBI too prefers as this makes it easier to track their India based assets and liabilities.

Finance ministry officials had at one stage assured several bank representatives that these provisions had been written in the Bill. But they were omitted in the version tabled in Parliament by finance minister P Chidambaram on Tuesday.

Speaking on the subject,

Shinjini Kumar, director, PricewaterhouseCoopers, said, "Although the shareholding rights are aligned to the extent of 26 per cent, joint ventures between foreign banks and Indian banks may still not be a real possibility unless further changes are in place. Clarity on the WOS framework will be a pre-requisite to any strategic discussions as far as foreign banks are concerned."

For domestic companies however the new Bill is expected to create a surge in planning for new licences. "The work from our side is now done. The ball is in the RBI's court. Things should start moving in the New Year," a senior finance ministry official said. Private sector entities such as Reliance Capital and L&T that have been planning to apply for bank permits have already begun doing the groundwork but are waiting

for the RBI's guidelines before finalising their plans.

"The banking licence has a potential to enable us provide all products and services. Currently we are a lender with some other services, but with deposits and other banking services, we shall get to interact with all customers on all grounds and would wait for the final guidelines of RBI," said N Sivaraman, president and whole-time director, L&T Finance Holdings.

Welcoming the passage of the Bill, Ajay Srinivasan, chief executive - Financial Services, Aditya Birla Group said, "Banking is a natural extension to our presence as a significant non bank, with over 1,700 points of presence and an AUM base of over Rs 1,00,000 crore." Other major players interested in seeking new banking licences include Anil Ambani-led Reliance Group, Mahindra & Mahindra, Bajaj Group, financial services conglomerate Religare Enterprises and Shriram group. Religare Enterprises Group CEO Shachindra Nath told *The Indian Express*, "Banking is a natural progression for us...."



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# Bank Licence won't Come Easy

There would be many aspirants, including large corporate houses, for a few licences on offer

## ET Analysis

ANITA BHOIR & SHILPY SINHA  
MUMBAI

The Lok Sabha may have cleared the way for the Reserve Bank of India to commence the process of granting licences for new banks after a gap of nearly 12 years, but it will be a trickle, disappointing many aspirants.

The conservative central bank may take more than a year to complete the formalities and come up with guidelines that may be tough to fulfill for many, especially the conglomerates, say experts. In fact, there may be clauses which could make the business profitable only in the long term and guzzle capital for years that may make it unattractive.

"There would be a large number of applicants, which is a positive for the licensing authority, however, the flip side is there will be many disappointed applicants," said Shinjini Kumar, director at consultants PWC. "Integrity factor will be important for RBI. They may want to seek a report from investigative agencies on

the applicants. It's not going to be an easy task for applicants."

RBI had insisted on powers to supersede banks' boards to ensure stability of the institution and the system, which it has received now. "We are always uncomfortable, but we have to work with the system as they are also important part of the system," said KC Chakrabarty, deputy governor, RBI. "Ultimately, law is approved by Parliament."

In its non-committal discussion paper, floated in August 2010, RBI had indicated its idea of new banks and what it intends to do. "The intention is to grant a 'limited' number of licences," said the paper.

Many industrial houses like the Birlas, Anil Ambani-controlled Reliance Group and the Mahindra Group are keen on setting up banking companies. NBFCs from Shriram and Bajaj Groups and L&T Finance Holdings too may apply for banking licences once the final guidelines are issued. But it may not be easy for all to get the licence.

"Prior to nationalisation of major commercial banks in 1969, the industrial and business houses, having control of the banks, diverted bulk of the bank advances to industry, par-

ticularly to large and medium-scale industries and big and established business houses, while the needs of vital sectors like small-scale industry, agriculture and exports were neglected," says the paper. However, it adds: "Permitting industrial and business houses to own a limited number of banks should not lead to undue concentration of control of banking activities."

"At least three banking licences will be given out. India needs more banks and the government has been very keen on issuing new licences," said Shiv Kumar, MD, State Bank of Bikaner and Jaipur.

The amendments have also raised the ceiling on the voting rights of shareholders of a nationalised bank from 1% to 10% and eased the 10% cap on voting rights of foreign shareholders in an Indian bank.

"Amendment to the Banking Bill is just the beginning. A lot more factors, starting with entity structure, will determine the success of getting new banks," said Narayanan Ramaswamy, partner, KPMG.

A few players are bent on becoming a bank. "We are fairly keen on entering the banking space given our large presence in the financial

## Draft Guidelines

### Eligible Promoters

**Entities** in the private sector, owned and controlled by residents, with diversified ownership

**Groups** with successful track record of at least 10 years

**Entities** with 10% or more income from real estate or broking activities in the last three years **not eligible**

### Other Requirements

|                 |                 |
|-----------------|-----------------|
| Minimum Capital | Foreign Holding |
| ₹500cr          | 49% for 5 yrs   |

Source RBI

services space," said Ajay Srinivasan, CEO, Financial Services, Aditya Birla Group.

anita.bhoir@timesgroup.com

# Seizing the India opportunity



AJAY  
SRINIVASAN

► We must leverage our high savings rate.

Between January 2011 and December 2012, India went on from being the BRIC nation with the highest growth potential over the next 50 years to the danger of losing its investment-grade credit rating.

Undoubtedly, fiscal 2012 was a difficult period for India; the economy was in the grip of a downturn with policy paralysed and markets depressed. Nonetheless, as with most things about India, for every pessimistic view, an opposite and equally credible view exists.

While many believe that the potential growth rate of the country has fallen considerably, others believe in the structural positives and that the real India story has only begun to unravel. India, these optimists would point out, is the third largest in the world in terms of gross domestic product based on purchasing power parity, according to data released by the IMF.

Not only is India's growth still attractive relative to a slowing world, India's saving rate at 32.3 per cent at the end of March 2012 is quite high from a global perspective. However, both sides will agree that India needs 7-8 per cent growth if we have to pull our people out of poverty.

## FINANCIAL PLANNING

The financial sector plays an important role in channelising the savings in the economy to borrowing entities, thus driving economic growth. All over the world, financial deepening or an increased choice of financial products, accompanies and leads to rapid economic pro-



**Buoyant capital** markets are important for financial intermediation. — V. V. Krishnan

gress. Compared to other emerging economies, financial services in India remain significantly under-penetrated.

Only 40 per cent of India's 1.2-billion people have bank accounts. Of India's 600,000 villages, only 30,000 have direct access to banks. Penetration of other financial services products such as life insurance, mutual funds, brokerage accounts, and so on, will show even lower penetration levels compared to many other markets.

Indian investors rightly expect positive and reasonably safe real returns from their investments. The macro situation in India of high inflation and slowing growth has meant that

savings have found their way from financial to physical savings. The latest report by the World Gold Council states that Indian households have amassed as much as 20,000 tonnes of gold worth \$1.16 trillion. Real-estate demand continues to grow at a robust pace. In fact, the financial planning followed by most Indians is to buy gold for their children's education and marriage and a home for retirement.

If we are to leverage the high savings rate we have as a country, then these savings need to be channelised into forms that have the highest multiplier effect on the economy and those tend to be financial savings.

Turning the trend and getting money into financial assets though, is going to mean positive real rates of return and a buoyant stock market.

## DISTRIBUTION MODEL

Over the last few years, rapid and considerable regulatory changes have altered the landscape for sectors like life insurance and mutual funds. The biggest impact has been on the distribution model in both sectors.

In 2011-12, lending businesses outperformed fee-based businesses. Banks and non-banking financial companies (NBFCs) had another good year. Book sizes grew in excess

of 20 per cent and profits of 24 major NBFCs in 2011-12 rose by 24 per cent as compared with 16 per cent for banks. On the other hand, total new business premium of life insurance companies in the country declined in 2011-12.

The mutual fund industry saw its total asset base shrink by about 5 per cent in 2011-12. The drop in high-yielding cash market volumes sharply affected the overall equity brokerage revenue pool that declined significantly in FY-2012. During the first three quarters of the last fiscal, according to some reports, three lakh agents quit the industry.

## POLICY CHANGES

Simultaneously, the mutual fund industry, according to reports, saw about 40 per cent reduction in distribution, mainly of Independent Financial Advisors (IFAs).

In a country like India, reaching the retail masses and ensuring a viable business model for the distributor is essential if we are to channelise savings to investments to fund our growth. If distribution shrinks or gets skewed to one channel, then the interests of the very customer we are trying to serve will not be achieved.

To realise the potential of its long-term prospects, India has to take policy measures to win back investor confidence. We need to kick-start investments again and that will require positive policy action and lower interest rates.

Funding this investment is going to require us to get domestic savings through the right channels to be able to reach the borrowers. A number of reform measures have recently been unleashed.

If we can unleash the power of continued reform and leverage the many advantages we have as a country, there is no stopping India from becoming one of the most attractive investment destinations in the world. Let us in 2013 look towards re-launching the India growth story!

(The author is Chief Executive - Financial Services, Aditya Birla Group.)